THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
NAMANGA SECONDARY SCHOOL

FORM FOUR PRE-MOCK EXAMINATION
061 COMMERCE

Time: 3 Hours **May, 2025**

Instructions

1. This paper consists of sections **A**, **B** and **C** with a total of **eleven (11)** questions.
2. Answer all questions in sections **A** and **B** and **two (2)** questions from section C.
3. Section A carries sixteen (16) marks, section B carries fifty-four (54) marks and section C carries thirty (30) marks.
4. Cellular phones and any unauthorized materials are not allowed in the examination room.
5. Write your **Examination Number** on every page of your answer booklet(s).

SECTION A (16 MARKS)
Answer **all** questions in this section

1. For each of the items (i) – (x), choose the correct answer from among the given alternatives and write its letter beside the item number in the answer booklet(s) provided.

(i) You were employed as a warehouse keeper and review bookstore. Which stock calculation will help the firm to identify the fast and slow moving items?
   A. Rate of stock turnover
   B. Markup
   C. Order point
   D. Sales per turnover
   E. Average stock

(ii) A total receipt from Export was TZS 2 billion by Tanzania, while the total payment for the import was TZS 6 billion. What does this mean in the health of participating in International Trade by your country?
   A. Favourable balance of payment
   B. Unfavourable balance of payment
   C. Favourable terms of trade
   D. Unfouvarable terms of trade
   E. Banking balance of payment

(iii) Assume your father produces a car for the total cost of TZS 20,000/= before deciding to sell it; he added TZS 10,000/= as his profit. Now, he will be selling it for TZS 30,000/=. Which pricing strategy was used by him?
   A. Demand based
   B. Competitive
   C. Price determined by treaties
   D. Penetration
   E. Cost plus

(iv) You requested money from your father to pay for your school fees, but your father told you that he currently does not have such money. But after a few days of working hard, he finds the money and pays for your school fees. Which quality of money was demonstrated in this case?

A. Divisibility
B. Durability
C. Recognizability
D. Scarcity
E. Homogeneity

(v) In domestic trade, if a buyer sends an inquiry to his supplier, which among the following documents will be used as a reply by the supplier?

A. Delivery note
B. Invoice
C. Quotation
D. Order note
E. Consignment note

(vi) Seypalm is a supplier of gas in Tupambane village. He decided to insure his shop against fire to minimize possible future loss. Which among the following ways was adopted by him?

A. Risk avoidance
B. Risk exploitation
C. Risk sharing and transferring
D. Risk acceptance
E. Risk escaping

(vii) Vijana Microfinance Ltd pays 30% of its profit to the government as a tax. Which of the following terms best describes that tax?

A. Surtax
B. Corporate
C. Octroi
D. PAYE
E. Property

(viii) ABC workers receive orders directly from the higher hierarchy of the organization and work on them without sharing ideas. Which management principle defines this situation?

A. Unity of direction
B. Unity of command
C. Centralization
D. Scalar chain
E. Span of control

(ix) “Omo removes dirty and stains, ordinary powder leaves behind.” Which form of advertising is best described by this example?

A. Informative

B. Competitive
C. Generic
D. Persuasive
E. Sponsorship

(x) When the price of oranges in the market was TZS 200, the quantity demanded was 1000 oranges per week. When the price falls to TZS 150, the quantity demanded rises by 500 oranges per week. What will be the price elasticity of oranges per week?
A. 2.0 elastic
B. 0.2 elastic
C. -0.2 inelastic
D. 0.2 inelastic
E. 2.0 inelastic

2. Match the description of the entrepreneur's skills in **Column A** with the corresponding skill in **Column B** by writing the letter of the correct response beside the item number in the answer sheet provided.

COLUMN A	COLUMN B
(i) Ability to see the opportunities and generate ideas to do things in new ways.	A. Problem-solving
(ii) Ability to know how to position the product to attract customers	B. Innovative
(iii) Ability to connect with different people inside and outside the business	C. Networking
(iv) Ability to deal with difficulties happening in the business	D. Financial
(v) Ability to understand how to raise funds that are needed for the business	E. Planning
(vi) Ability to influence employees to perform their duties effectively	F. Technical
	G. Persuasion
	H. Marketing

SECTION B (54 MARKS)

Answer **all** questions in this section

3. Using five points, tell local business people in your community the importance of commerce in their daily business environment.

4. Business opportunities are created from many sources, one being studying human wants. As a commercial student, explain any other five sources.

5. Mr Chaurembo decided to insure his car with a chartered Insurance Corporation, but he is unaware of what to do. Using five points, help him to accomplish his decision.

6. Although the transportation sector in Tanzania is growing fast, it has some number of challenges to be successful. Describe six (6) of them.

7. A new business owner visited Tanzania Revenue Authority to seek clarification on various terminologies which confused him. He found you there as customer care; how will you help him with the following?

   (a) Tax and Taxation

   (b) Direct and Indirect tax

   (c) Impact and Incidence

8. Communication seems to be a vital issue in any given business organization due to its roles. By providing five reasons, justify the statement.

SECTION C (30 MARKS)

Answer **two (2)** questions in this section

9. Registering a new business in Tanzania is not an easy task for new entrepreneurs, as they will face some difficulties in the process. Describe three challenges and give three solutions to each.

10. Tanga Cement uses wholesalers to distribute its products all over the country. For some reasons, the wholesalers have decided to step down. Elaborate how the industry will be negatively affected by such a decision. Give out six points.

11. Many companies have been established to provide various goods and services, but in recent years, there have been a large number of companies that have ceased operation. What are the reasons behind the situation? Give six (6) reasons.